



LAZY DOG

— CAPITAL —

CONDITIONAL DEED IN LIEU OF FORECLOSURE AGREEMENT

DRAFT — NOT FOR USE. This document must be reviewed and approved by a licensed Texas real estate attorney before it is used on any loan. The equity-of-redemption ("clog"), non-merger, lien-priority, and Texas Civil Practice & Remedies Code § 12.002 recording issues in this instrument are the specific points requiring counsel's review.

THIS AGREEMENT IS NOT TO BE RECORDED.

This Conditional Deed in Lieu of Foreclosure Agreement (this "**Agreement**") is entered into as of **{{CLOSING_DATE}}** by and between:

LAZY DOG CAPITAL LLC, a Texas limited liability company, 3400 N Central Expy #110-217, Richardson, TX 75080 ("**Lender**"); and

{{BORROWER_ENTITY}}, a **{{BORROWER_ENTITY_TYPE}}**, whose address is **{{BORROWER_ADDRESS}}** ("**Borrower**");

and joined by **{{GUARANTOR_NAMES}}** (individually and collectively, "**Guarantor**") for the limited purposes stated in Sections 5 and 7.

RECITALS

A. Concurrently with this Agreement, Lender is making a loan to Borrower in the original principal amount of **{{LOAN_AMOUNT}}** (the "**Loan**"), evidenced by a Promissory Note of even date (the "**Note**") and secured by a Deed of Trust of even date (the "**Deed of Trust**") covering the real property described on **Exhibit A** and commonly known as **{{PROPERTY_ADDRESS}}** (the "**Property**").

B. The Loan matures on **{{MATURITY_DATE}}**, subject to one three-month extension as provided in the Note.

C. The Loan is made solely for business and commercial purposes. The Property is not, and will not be, the homestead of Borrower or any Guarantor.

D. Borrower and Lender wish to agree in advance on the terms under which Borrower would convey the Property to Lender in lieu of foreclosure if certain events occur, so that both parties may avoid the delay and expense of foreclosure should those events arise.

E. Borrower acknowledges that Borrower has had the opportunity to review this Agreement with counsel of Borrower's own choosing, that Borrower is a sophisticated party engaged in the business of acquiring and rehabilitating real property for resale, and that this Agreement was negotiated at arm's length.

NOW, THEREFORE, for good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows.

1. DEFINITIONS

1.1 "Deed in Lieu Documents" means, collectively, the documents attached as Exhibits B through E, completed with then-current information:

- **Exhibit B** — Special Warranty Deed
- **Exhibit C** — Estoppel Affidavit
- **Exhibit D** — Bill of Sale and Assignment of Contracts, Permits, Plans and Warranties
- **Exhibit E** — Settlement and Release Agreement

1.2 "Loan Documents" means the Note, the Deed of Trust, the Personal Guarantee, the Business Purpose and Non-Homestead Affidavit, this Agreement, and all other documents executed in connection with the Loan.

1.3 "Trigger Event" means any event listed in Section 2.

1.4 "Business Day" means any day other than a Saturday, Sunday, or day on which national banks in Texas are authorized to close.

2. TRIGGER EVENTS

Each of the following is a Trigger Event. Where a cure period is stated, the Trigger Event is not deemed to have occurred until Lender has given Borrower written notice and the stated cure period has expired without cure.

Payment

(a) Delinquent interest. Any monthly interest payment remains unpaid sixty (60) days or more after its due date. *No separate cure period; the sixty-day period serves as the cure period.*

(b) Failure to pay at maturity. The Loan is not paid in full on or before the Maturity Date, and Borrower has not exercised the extension option under the Note and paid the extension fee within thirty (30) days after the Maturity Date. *No separate cure period.*

Collateral protection

(c) Insurance lapse. Property insurance required by the Deed of Trust lapses, is cancelled, is reduced below required limits, or fails to name Lender as mortgagee and loss payee. *Cure period: ten (10) Business Days after written notice.*

(d) Delinquent taxes. Ad valorem taxes or assessments on the Property become delinquent. *Cure period: ten (10) Business Days after written notice.*

(e) Competing lien. Any lien, encumbrance, or claim superior or competing with the Deed of Trust is filed against the Property and is not paid, bonded around, released, or insured over to Lender's satisfaction within thirty (30) days after filing. *Cure period: ten (10) Business Days after written notice, running concurrently with the thirty-day period.*

Construction and trades

(f) Work stoppage. Construction or rehabilitation work on the Property ceases for forty-five (45) or more consecutive days without Lender's prior written approval. *Cure period: ten (10) Business Days after written notice.*

(g) Unpaid trades. Borrower receives any notice under Chapter 53 of the Texas Property Code from a contractor, subcontractor, laborer, or materialman; or Lender otherwise determines that any contractor, subcontractor, laborer, or materialman furnishing labor or materials to the Property is unpaid more than thirty (30) days past the due date for such payment; and the underlying claim is not paid, bonded around, released, or insured over to Lender's satisfaction within thirty (30) days. *Cure period: ten (10) Business Days after written notice, running concurrently with the thirty-day period.*

(h) Misapplied draw proceeds or false draw request. Any portion of the construction holdback or draw proceeds is applied to any purpose other than the approved scope of work, or any draw request contains a material misstatement or omission. **No cure period.**

(i) Municipal action. A stop-work order, red tag, code enforcement action, permit revocation, or similar municipal or governmental action is issued as to the Property and is not resolved, lifted, or dismissed within sixty (60) days. *Cure period: ten (10) Business Days after written notice, running concurrently with the sixty-day period.*

Title, possession and transfer

(j) Unauthorized transfer. Borrower sells, transfers, conveys, leases for a term exceeding six months, or further encumbers the Property or any interest in it without Lender's prior written consent. *No cure period.*

(k) Abandonment. The Property is abandoned, left vacant and unsecured, or condemned. *Cure period: ten (10) Business Days after written notice.*

(l) Change in control. Any change in the ownership, membership, management, or control of Borrower occurs without Lender's prior written consent. *Cure period: ten (10) Business Days after written notice.*

Borrower and Guarantor

(m) Insolvency proceedings. Borrower or any Guarantor files or has filed against it any petition in bankruptcy, makes an assignment for the benefit of creditors, or has a receiver appointed for it or for any material part of its assets. **No cure period.** *Lender acknowledges that the automatic stay under 11 U.S.C. § 362 may limit Lender's remedies following a bankruptcy filing.*

(n) Death, dissolution, or misrepresentation. Borrower dissolves or becomes insolvent; any Guarantor dies or becomes insolvent; or any representation, warranty, financial statement, budget, application, or draw request made by Borrower or any Guarantor in connection with the Loan proves to have been materially false or misleading when made. **No cure period.**

3. LENDER'S DEMAND

3.1 Optional. Upon the occurrence of any Trigger Event and the expiration of any applicable cure period, Lender **may, at its sole and absolute option**, deliver written demand to Borrower requiring Borrower to execute and deliver the Deed in Lieu Documents. Lender is under no obligation to deliver a demand. Lender's election not to deliver a demand as to any Trigger Event does not waive Lender's right to deliver a demand as to that or any other Trigger Event at any later time.

3.2 Borrower's obligation. Within **ten (10) Business Days** after receipt of Lender's demand, Borrower shall execute, acknowledge before a notary public, and deliver to

Lender the Deed in Lieu Documents, completed with the then-current information required.

3.3 No effect on other remedies. Lender's delivery of a demand does not accelerate the Loan, waive any default, release Borrower or any Guarantor, or limit any other remedy. Lender may at any time withdraw the demand and proceed under any other remedy available in the Loan Documents or at law, including non-judicial foreclosure under Texas Property Code § 51.002.

3.4 Lender not obligated to accept. Nothing in this Agreement obligates Lender to accept a deed to the Property. Lender may decline to accept any conveyance for any reason or no reason, including the existence of liens, environmental conditions, or litigation affecting the Property.

3.5 Specific performance. Borrower's obligations under Section 3.2 may be enforced by specific performance, Borrower acknowledging that the Property is unique and that money damages would be inadequate. Lender's election to seek specific performance does not limit any other remedy.

4. NO PRESENT CONVEYANCE

4.1 No conveyance of any interest in the Property occurs under this Agreement unless and until Borrower executes and delivers, and Lender accepts and records, the Special Warranty Deed. Until that time, Borrower retains all right, title, interest, and equity of redemption in and to the Property.

4.2 This Agreement is an executory agreement to convey upon stated conditions. It is **not** a present conveyance, a deed, a mortgage, a deed of trust, or a security instrument, and it creates no lien or encumbrance on the Property.

4.3 No deed, assignment, or other conveyance instrument is executed, delivered, or held in escrow as of the date of this Agreement. The Deed in Lieu Documents attached as Exhibits B through E are **unexecuted forms** attached solely to establish the form of the documents Borrower will execute if and when a demand is made.

4.4 Nothing in this Agreement waives, limits, or impairs Borrower's right to cure any default, to reinstate the Loan, to pay the Loan in full at any time without penalty, or to redeem the Property at any time before a conveyance is completed or a foreclosure sale occurs.

4.5 This Agreement shall not be recorded in the real property records of any county. Recording this Agreement is not permitted, and any recording is void and of no effect.

5. CONSIDERATION

5.1 Lender and Borrower will determine the consideration for the conveyance at the time of Lender's demand. Lender's demand notice will state which of the following Lender is offering:

- ☐ Release of each Guarantor from further liability under the Personal Guarantee
- ☐ Waiver of any deficiency remaining after the conveyance
- ☐ Cash payment to Borrower in an amount stated in the demand

☐ Other consideration stated in the demand

5.2 Any consideration offered is conditioned on (i) Lender's acceptance and recording of the Special Warranty Deed, and (ii) the representations in the Estoppel Affidavit being true and complete.

5.3 If Lender's demand offers no consideration beyond the mutual covenants in this Agreement, Borrower acknowledges that the covenants exchanged here, together with Lender's agreement to make the Loan, constitute sufficient consideration for Borrower's obligations under Section 3.2.

6. NON-MERGER AND PRESERVATION OF LIEN

6.1 No merger. If Lender accepts a deed to the Property under this Agreement, **the Note, the Deed of Trust, and the lien created by the Deed of Trust shall not merge into the fee title acquired by Lender.** The Deed of Trust lien shall remain in full force and effect, separate and distinct from the fee estate, until Lender expressly releases it in a recorded instrument.

6.2 Purpose. The parties intend that the Deed of Trust lien survive the conveyance so that Lender may, at its option, foreclose the Deed of Trust to extinguish any junior lien, encumbrance, or claim against the Property.

6.3 Preservation of claims. Acceptance of a deed does not, by itself, satisfy the debt, release Borrower or any Guarantor, or waive any claim of Lender, except to the extent expressly stated in a Settlement and Release Agreement executed by Lender.

6.4 Junior liens. Borrower acknowledges that a conveyance under this Agreement leaves the Property subject to junior liens and encumbrances, and that Lender's willingness to accept a conveyance may depend on the absence of such liens.

7. BORROWER COVENANTS AND REPRESENTATIONS

7.1 Chapter 53 notices. Borrower shall deliver to Lender a copy of any notice received under Chapter 53 of the Texas Property Code, or any other lien notice or claim relating to the Property, **within five (5) days** after receipt.

7.2 Lien waivers. Borrower shall deliver conditional lien waivers with each draw request and unconditional lien waivers for all amounts previously funded, in the forms Lender requires.

7.3 Trade payments current. Borrower shall keep all contractors, subcontractors, laborers, and materialmen furnishing labor or materials to the Property current in accordance with their agreements.

7.4 Notice of Trigger Events. Borrower shall notify Lender in writing within five (5) days after Borrower becomes aware of the occurrence of any Trigger Event.

7.5 Access. Borrower shall permit Lender and its agents to enter and inspect the Property at reasonable times upon reasonable notice.

7.6 Representations. Borrower represents and warrants that: (i) Borrower is duly organized and in good standing; (ii) the execution of this Agreement has been duly authorized; (iii) this Agreement does not conflict with Borrower's organizational documents

or any agreement binding on Borrower; (iv) the Property is not the homestead of Borrower or any Guarantor; and (v) the Loan is for business and commercial purposes only.

7.7 Guarantor joinder. Each Guarantor joins in this Agreement to acknowledge Sections 5 and 6 and agrees that the Personal Guarantee remains in full force and effect except to the extent expressly released in a Settlement and Release Agreement executed by Lender.

8. COLLATERAL ASSIGNMENT ACKNOWLEDGMENT

Borrower acknowledges that Lender may collaterally assign the Note and the Deed of Trust, in whole or in part, to one or more capital partners. Borrower agrees that:

8.1 Lender's rights under this Agreement may be exercised by Lender notwithstanding any such assignment;

8.2 No consent of Borrower is required for any such assignment; and

8.3 Lender shall obtain any consent required from an assignee before accepting a conveyance under this Agreement, and Borrower has no obligation to confirm that such consent was obtained.

9. MISCELLANEOUS

9.1 Notices. All notices must be in writing and delivered by certified mail, return receipt requested, by nationally recognized overnight courier, or by hand delivery, to the addresses stated above, with a courtesy copy by email. Notice is effective on the earlier of actual receipt or three (3) days after deposit in the mail. Either party may change its address by notice given as provided here.

9.2 Governing law and venue. This Agreement is governed by the laws of the State of Texas. Venue for any action lies exclusively in **{{COUNTY}}** County, Texas.

9.3 No waiver. No delay or omission by Lender in exercising any right operates as a waiver. A waiver on one occasion does not waive any right on any other occasion.

9.4 Severability. If any provision of this Agreement is held invalid or unenforceable, the remaining provisions remain in full force and effect. **A determination that any provision of this Agreement is invalid or unenforceable shall not affect the validity, enforceability, or priority of the Note, the Deed of Trust, the Personal Guarantee, or any other Loan Document.**

9.5 Entire agreement; amendment. This Agreement, together with the other Loan Documents, is the entire agreement between the parties on this subject. It may be amended only by a written instrument signed by both parties.

9.6 Survival. This Agreement survives until the Loan is paid in full and the Deed of Trust is released, or until the Property is conveyed or foreclosed, whichever occurs first.

9.7 Successors. This Agreement binds and benefits the parties and their respective heirs, successors, and permitted assigns.

9.8 Counterparts. This Agreement may be executed in counterparts, each of which is an original and all of which together constitute one instrument. Electronic signatures have the same effect as original signatures.

9.9 Construction. Section headings are for convenience only. This Agreement was negotiated by the parties and shall not be construed against either party as drafter.

10. BORROWER ACKNOWLEDGMENT

BORROWER ACKNOWLEDGES THAT BORROWER HAS READ THIS AGREEMENT, HAS HAD THE OPPORTUNITY TO CONSULT INDEPENDENT LEGAL COUNSEL OF BORROWER'S OWN CHOOSING, AND UNDERSTANDS THAT:

(A) NO INTEREST IN THE PROPERTY IS CONVEYED BY THIS AGREEMENT;

(B) BORROWER RETAINS FULL OWNERSHIP AND THE RIGHT TO CURE, REINSTATE, PREPAY, AND REDEEM UNTIL A CONVEYANCE IS COMPLETED OR A FORECLOSURE SALE OCCURS; AND

(C) IF A TRIGGER EVENT OCCURS AND LENDER MAKES DEMAND, BORROWER WILL BE OBLIGATED TO CONVEY THE PROPERTY TO LENDER ON THE TERMS STATED HERE.

SIGNATURES

BORROWER

{{BORROWER_ENTITY}}

By: _____ Date: _____

Name: _____

Title: _____

GUARANTOR *(joining for the purposes of Sections 5, 6 and 7.7)*

_____ Date: _____

Name: {{GUARANTOR_1_NAME}}

_____ Date: _____

Name: {{GUARANTOR_2_NAME}}

LENDER

LAZY DOG CAPITAL LLC

By: _____ Date: _____

Name: Lewis McKnight, Manager

By: _____ Date: _____

Name: Stephen Maner, Manager

EXHIBITS

- **Exhibit A** — Legal Description of the Property *(verbatim from title commitment Schedule A)*
- **Exhibit B** — Form of Special Warranty Deed *(unexecuted)*

- **Exhibit C** — Form of Estoppel Affidavit (*unexecuted*)
- **Exhibit D** — Form of Bill of Sale and Assignment of Contracts, Permits, Plans and Warranties (*unexecuted*)
- **Exhibit E** — Form of Settlement and Release Agreement (*unexecuted*)

Lazy Dog Capital LLC · 3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989

TOKENS USED

{{CLOSING_DATE}} · {{BORROWER_ENTITY}} · {{BORROWER_ENTITY_TYPE}} ·
{{BORROWER_ADDRESS}} · {{GUARANTOR_NAMES}} · {{GUARANTOR_1_NAME}} ·
{{GUARANTOR_2_NAME}} · {{LOAN_AMOUNT}} · {{PROPERTY_ADDRESS}} · {{MATURITY_DATE}}
· {{COUNTY}}

All tokens already exist in the closing merge process except {{BORROWER_ENTITY_TYPE}} and {{COUNTY}}, which may need to be added to the Closing Worksheet.